

Chapter 7 Bankruptcy: Liquidation

Under [Chapter 7](#), liquidation, you turn most of your personal property over to the court, which appoints a trustee to sell the property and use the proceeds to pay off all or some of your debts. As in [Chapter 13](#) bankruptcy, you're allowed to keep certain exempt property, but to keep secured property such as your house, car, or furniture you're buying on credit, you have to sign a Reaffirmation Agreement stating that you agree to be responsible for those debts. You basically promise to pay on the debt going forward, and you give up the protections of bankruptcy on that property.

Once you've signed the Reaffirmation Agreement, these debts can't be discharged for at least six years. In other words, you can't change your mind in a few years and decide you don't want those assets and don't want to be responsible for paying for them. In order to reaffirm the debt, you have to make any payments necessary to bring your account up-to-date.

Is [Chapter 7](#) Bankruptcy an Option for You?

After the Bankruptcy Abuse Prevention and Consumer Protection Act of 2005, [Chapter 7](#) bankruptcy became difficult to qualify for. The first hurdle is a “means test,” which looks at your income relative to others in your area. If you don't qualify under the means test, you can still try to qualify if your income and expenses are in line with the government requirements, but as detailed calculations are needed to decide this, you should retain the services of a bankruptcy lawyer to make sure your calculations are sound. However, the old days of simply convincing a judge that you need [Chapter 7](#) are gone—the new system has specific rules and limits.

[Chapter 7](#) is typically the bankruptcy type of choice for people who have large credit card or other unsecured debt and few assets. If there's a risk that you might lose your home or car under [Chapter 7](#), your lawyer may recommend that you file [Chapter 13](#) instead. If you have more equity in your car or home than the exempt amount allowed by your state, the chance of being forced to relinquish these assets to be sold to pay your creditors is high.